TCS – DCF VALUATION MODEL | Q2

Key Assumptions & Historical Financial

HISTORICAL P&L (IFRS, INR Mn)

Metric	FY23	FY24	FY25
Revenue (INR Mn)	2,254,580	2,408,930	2,553,240
Operating Income (EBIT)	621,650	593,110	621,650
EBITDA	663,530	635,440	662,540
Net Profit	465,850	487,970	487,760
Depreciation & Amort.	51,530	51,530	51,530
Total Employees	592,195	601,546	613,069

* CAGR = 2-year compound annual growth rate (FY23→FY25)

DCF KEY ASSUMPTIONS (Blue = Input Cells)

Assumption	Value
Revenue Growth – Yr 1 (FY26E)	**5.0%**
Revenue Growth – Yr 2 (FY27E)	**7.0%**
Revenue Growth – Yr 3 (FY28E)	**9.0%**
Revenue Growth – Yr 4 (FY29E)	**10.0%**
Revenue Growth – Yr 5 (FY30E)	**10.0%**
EBITDA Margin (avg, fy26-30)	**26.0%**
Capex as % Revenue	**2.0%**
Tax Rate (effective)	**26.0%**
Terminal Growth Rate (g)	**5.0%**
WACC	**10.5%**
Shares Outstanding (Mn)	**3,618**
Net Cash / (Debt) (INR Mn)	**450,000**

FY2026 Data Sheet

s (INR Mn)

FY25 CAGR*	Notes
6.4%	Moderating growth; CC guidance ~5%
-	Recovery as AI spend accelerates
(0.1%)	Normalised growth trajectory
2.3%	Sustained double-digit expansion
-	Steady state entry
1.7%	Historical range 24-27%; conserv. 26%
	~2% historically
	~25-26% effective rate
	Long-run India IT nominal growth
	Cost of equity ~11%; negligible debt
	As per latest filing
	Cash + investments less debt

TCS – DISCOUNTED CASH FLOW (D

5-Year FCF Projection | WACC Discount | Terminal Va

Line Item	FY25A	FY26E	FY27E
A. REVENUE PROJECTION (INR Mn)			
Revenue Growth Rate (YoY)		5.0%	7.0%
Revenue	**2,553,240**	**2,680,902**	**2,868,565**
(FY25A revenue sourced from Q2 FY26 data sheet)			
B. EBITDA (INR Mn)			
EBITDA Margin (%)	25.9%		26.0%
EBITDA	**662,540**	**-**	**745,827**
C. DEPRECIATION & AMORTISATION			
D&A (INR Mn, est. flat ~40-52Bn)	**40,890**	43,000	45,000
EBIT (EBITDA – D&A)	**621,650**	**(43,000)**	**700,827**
D. FREE CASH FLOW (FCF) COMPUTATION			
Effective Tax Rate	26.0%	26.0%	26.0%
NOPAT (EBIT × (1 – Tax Rate))	**460,021**	**(31,820)**	**518,612**
Add: Depreciation & Amortisation	40,890	43,000	45,000
Less: Capex (% of Revenue)	(51,065)	(53,618)	(57,371)
Less: Change in Working Capital (est.)	-	(15,000)	(18,000)
FREE CASH FLOW (FCF)	**449,846**	**(57,438)**	**488,241**
E. DISCOUNTING & TERMINAL VALUE			
WACC	10.5%	10.5%	10.5%
Year (t)	FY25A	1	2
Discount Factor [1/(1+WACC)^t]	—	0.9050	0.8190
PV of FCF	—	(51,980)	399,861
Terminal Growth Rate (g)	5.0%	5.0%	5.0%
Terminal Value [FCF_5 × (1+g) / (WACC – g)]	—	—	—
PV of Terminal Value	—	—	—

F. INTRINSIC VALUE SUMMARY	
Sum of PV(FCFs) – FY26 to FY30	**1,522,538**
PV of Terminal Value	**7,433,929**
Enterprise Value (EV)	**8,956,467**
Add: Net Cash & Investments (INR Mn)	450,000
Equity Value	**9,406,467**
Shares Outstanding (Mn)	3,618

➤ DCF INTRINSIC VALUE PER SHARE (INR)

Current Market Price (INR) — update as needed

Upside / (Downside) = (DCF Price − Market) / Market

DCF) VALUATION

alue | Intrinsic Value per Share

FY28E	FY29E	FY30E
9.0%	10.0%	10.0%
3,126,736	**3,439,410**	**3,783,351**
26.0%	26.0%	26.0%
812,951	**894,246**	**983,671**
47,000	49,000	51,000
765,951	**845,246**	**932,671**
26.0%	26.0%	26.0%
566,804	**625,482**	**690,177**
47,000	49,000	51,000
(62,535)	(68,788)	(75,667)
(20,000)	(22,000)	(24,000)
531,269	**583,694**	**641,510**
10.5%	10.5%	10.5%
3	4	5
0.7412	0.6707	0.6070
393,757	391,504	389,396
5.0%	5.0%	5.0%
—	—	**12,247,002**
—	—	**7,433,929**

	₹2,599.91
	₹3,280.00
	-20.7%

SENSITIVITY ANALYSIS – DCF Intrinsic Value per				
WACC ↓ / TGR →	3%	4%	5%	6%
8.5%	₹1,647	₹1,929	₹2,372	₹3,170
9.5%	₹1,416	₹1,604	₹1,876	₹2,303
10.5%	₹1,249	₹1,382	₹1,563	₹1,825
11.5%	₹1,122	₹1,221	₹1,349	₹1,524
12.5%	₹1,024	₹1,099	₹1,194	₹1,318

Note: Sensitivity uses simplified FCF base. See DCF Model sheet for full computation.

r Share (INR)
7%
₹5,032
₹3,072
₹2,237
₹1,777
₹1,487

VALUATION BRIDGE & EQUITY RESEAF

COMPONENT	VALUE (INR Mn)
PV of FCFs (FY26E–FY30E)	→ see DCF Model
PV of Terminal Value	→ see DCF Model
Enterprise Value (EV)	**→ H column, DCF**
+ Net Cash & Investments	~450,000 Mn
Equity Value	**→ H column, DCF**
÷ Shares Outstanding	3,618 Mn
DCF Intrinsic Value / Share	**→ G column, DCF**
Market Price (CMP)	**~₹3,280**
Implied Upside / (Downside)	→ G column, DCF

IMPORTANT DISCLAIMER

This model is for educational/analytical purposes only. It is not investment advice. DCF
conduct independent research and consult a SEBI-registered financial advisor before in

RCH SUMMARY

NOTES
5-year explicit forecast period
Gordon Growth Model; g=5%, WACC=10.5%
Sum of above
Cash, bank deposits, investments (FY25)
As per latest filing
Base case
Approximate, April 2026
(DCF – CMP) / CMP

valuations are highly sensitive to assumptions. Always
vesting.